

# Regulation of Financial Markets

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**Course:** CIFA — Certified Investment and Financial Analysts

**Level:** Foundation Level

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**Syllabus version:** Based on the standard KASNEB CIFA Foundation Level Regulation of Financial Markets syllabus topics — the purpose of financial market regulation, key regulators in Kenya, market abuse, and investor protection. Authored from general financial-markets and regulatory knowledge and standard syllabus topic coverage, not copied from any existing notes provider or study guide. Cross-check terminology and emphasis against the current KASNEB syllabus and examiner's reports before the exam.

**Original work notice.** Every explanation, worked example, and question in this document was written from scratch for this paper. No text has been copied or paraphrased from any KASNEB past paper, textbook, or third-party notes/study guide. The scenarios and practice questions are original.

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## 1. Why financial markets are regulated

Financial markets are regulated to protect investors, maintain fair and orderly markets, reduce systemic risk, and build public confidence in the financial system. Without regulation, information asymmetries (some participants knowing more than others), conflicts of interest, and outright fraud could undermine trust to the point that investors withdraw from markets entirely, harming the wider economy's ability to raise and allocate capital efficiently.

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## 2. Key financial regulators in Kenya

- **Capital Markets Authority (CMA)** — regulates capital markets (securities, collective investment schemes, listed companies).
- **Central Bank of Kenya (CBK)** — regulates banks and oversees monetary policy.
- **Insurance Regulatory Authority (IRA)** — regulates insurance companies and intermediaries.
- **Retirement Benefits Authority (RBA)** — regulates pension schemes.
- **Sacco Societies Regulatory Authority (SASRA)** — regulates deposit-taking SACCOs.

Each regulator has a distinct mandate, though their regulated sectors increasingly interact (e.g. pension funds and insurers investing in capital-markets instruments regulated by the CMA).

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## 3. The role of the Capital Markets Authority (CMA)

The **CMA** is the primary regulator of Kenya's capital markets, responsible for: licensing and supervising market intermediaries (stockbrokers, investment banks, fund managers), approving public offers of securities, enforcing disclosure and governance requirements for listed companies, and investigating/enforcing action against market abuse (insider trading, market manipulation). The CMA's overarching objectives are investor protection, market integrity, and the orderly development of Kenya's capital markets.

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## 4. The Nairobi Securities Exchange (NSE), basics

The **Nairobi Securities Exchange (NSE)** is Kenya's licensed securities exchange, providing a regulated marketplace for trading listed equities, bonds and other securities. Companies seeking to list must meet the NSE's listing requirements (covering matters such as minimum capital, shareholder spread, and financial track record) and, once listed, are subject to ongoing disclosure and governance obligations designed to keep investors properly informed.

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## 5. Licensing and market intermediaries

Market intermediaries — stockbrokers, investment banks, fund managers, investment advisers — must generally be licensed by the CMA before providing regulated services, subject to minimum capital, competence, and conduct requirements. Licensing exists to give investors assurance that anyone handling their investments or providing investment advice has met a baseline standard of competence and financial soundness, rather than being an entirely unregulated intermediary.

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## 6. Market abuse — insider trading and market manipulation

**Insider trading** — trading a security while in possession of material non-public information about it, or improperly disclosing such information — is prohibited because it gives an unfair advantage over other market participants who lack access to the same information. **Market manipulation** — actions intended to artificially affect a security's price or trading volume (e.g. spreading false information, or coordinated trading intended to create a misleading impression of demand) — is similarly prohibited, since it undermines the fair, efficient functioning of the market that all participants depend on for reliable pricing.

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## 7. Investor protection mechanisms

Common investor protection mechanisms include: mandatory disclosure requirements (ensuring investors have access to material information before investing), licensing/conduct requirements for intermediaries, market surveillance and enforcement against abuse, and, in some markets, investor compensation funds providing limited protection if a licensed intermediary fails. Collectively, these mechanisms aim to reduce information asymmetry and give investors reasonable confidence that markets are being properly policed.

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## 8. Disclosure and continuing obligations for listed companies

Listed companies face **continuing disclosure obligations** — requirements to promptly disclose material information (e.g. significant financial results, major transactions, changes in directorship) that could reasonably affect the company's share price, so that all investors have fair, timely access to material information rather than only a privileged few. Regular reporting obligations (e.g. periodic financial statements) further support ongoing investor confidence by keeping the market continuously informed, rather than relying solely on the initial listing disclosure.

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## 9. Full worked question — identifying a regulatory breach

**Scenario.** A company's finance director learns, ahead of the public announcement, that the company's annual profit will be significantly below market expectations. Before the announcement is made public, the finance director sells a large portion of their personal shareholding in the company.

**Required:** (a) Identify the regulatory issue in this scenario. (b) Explain why this conduct is prohibited.

**Solution:**

(a) This is a case of **insider trading** — the finance director traded (sold) shares while in possession of material non-public information (the significantly lower-than-expected profit figure) ahead of its public disclosure.

(b) This conduct is prohibited because it gives the finance director an unfair advantage over other market participants who did not have access to the same information — those other participants effectively bought or held the shares from/against someone who knew material negative information they did not, undermining the fairness and integrity of the market and investor confidence in it generally.

## 10. Practice examination — KASNEB-style paper (original, not a past paper)

**Note on format.** This section is laid out the way a KASNEB CIFA examination paper is laid out — a timed paper with five compulsory 20-mark questions — purely so you can practise under realistic exam conditions. Every question below is an original scenario written for this document. **It is not a reproduction of any actual KASNEB past examination paper.**

### CIFA FOUNDATION LEVEL — REGULATION OF FINANCIAL MARKETS (PRACTICE PAPER)

**TIME ALLOWED: 3 HOURS**

*Instructions to candidates: Answer ALL FIVE questions. Each question carries 20 marks. Show all workings clearly.*

#### QUESTION ONE

(a) Explain THREE reasons financial markets are regulated. (12 marks)

(b) Outline FOUR key financial regulators in Kenya and their primary mandate. (8 marks)

*(Total: 20 marks)*

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## **QUESTION TWO**

(a) Outline FOUR functions of the Capital Markets Authority. *(12 marks)*

(b) Explain the purpose of licensing requirements for market intermediaries. *(8 marks)*

*(Total: 20 marks)*

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## **QUESTION THREE**

(a) Define "insider trading" and explain why it is prohibited. *(10 marks)*

(b) Define "market manipulation" and give one example. *(10 marks)*

*(Total: 20 marks)*

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## **QUESTION FOUR**

(a) Outline THREE investor protection mechanisms found in a regulated capital market. *(12 marks)*

(b) Explain the purpose of continuing disclosure obligations for listed companies. *(8 marks)*

*(Total: 20 marks)*

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## **QUESTION FIVE**

A company director learns of a major, undisclosed contract loss before it is publicly announced, and sells a large portion of their personal shareholding before the announcement.

(a) Identify the regulatory issue in this scenario. *(6 marks)*

(b) Explain why this conduct undermines market fairness. *(8 marks)*

(c) Explain the role of the Nairobi Securities Exchange in relation to listed companies. *(6 marks)*

*(Total: 20 marks)*

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## **11. Marking guide — model answers to the practice examination**

### **QUESTION ONE**

(a) (12 marks — 4 marks each) — Protecting investors; maintaining fair/orderly markets; reducing systemic risk (building public confidence also acceptable).

(b) (8 marks — 2 marks each) — CMA (capital markets), CBK (banks/monetary policy), IRA (insurance), RBA (pensions) — SASRA (SACCOs) also acceptable.

## **QUESTION TWO**

(a) (12 marks — 3 marks each) — Licensing/supervising intermediaries; approving public securities offers; enforcing disclosure/governance for listed companies; investigating/enforcing against market abuse.

(b) (8 marks) — Licensing gives investors assurance that anyone handling their investments or providing advice has met a baseline standard of competence and financial soundness.

## **QUESTION THREE**

(a) (10 marks) — Insider trading is trading a security while possessing material non-public information about it (or improperly disclosing it); prohibited because it gives an unfair advantage over other market participants lacking that information.

(b) (10 marks) — Market manipulation is action intended to artificially affect a security's price/trading volume; example: spreading false information about a company to move its share price.

## **QUESTION FOUR**

(a) (12 marks — 4 marks each) — Mandatory disclosure requirements; licensing/conduct requirements for intermediaries; market surveillance/enforcement (investor compensation funds also acceptable).

(b) (8 marks) — Continuing disclosure ensures all investors have fair, timely access to material information affecting a company's share price, rather than only a privileged few, supporting fair and informed trading.

## **QUESTION FIVE**

(a) (6 marks) — Insider trading — the director traded while possessing material non-public information ahead of public disclosure.

(b) (8 marks) — It gives the director an unfair advantage over other market participants who lacked the same information, undermining trust that all participants are trading on a level informational footing.

(c) (6 marks) — The NSE provides a regulated marketplace for trading listed securities, sets listing requirements companies must meet, and enforces ongoing disclosure/governance obligations on listed companies.

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## 12. Exam technique and revision checklist

- Regulator questions: know each Kenyan regulator's specific mandate precisely (CMA/capital markets, CBK/banks, IRA/insurance, RBA/pensions, SASRA/SACCOs).
- Insider trading/market manipulation: always explain *why* the conduct is prohibited (unfair advantage / undermines market integrity), not just define the term.
- Investor protection questions: name specific mechanisms rather than a vague "the regulator protects investors."
- Disclosure questions: connect continuing disclosure obligations to fair, timely investor access to material information.
- Scenario questions: identify the specific regulatory issue by name first, then explain the underlying reasoning.

### Quick revision — one line per topic:

1. Markets are regulated to protect investors, maintain fairness, reduce systemic risk, build confidence.
2. Kenyan regulators: CMA (capital markets), CBK (banks), IRA (insurance), RBA (pensions), SASRA (SACCOs).
3. CMA: licenses intermediaries, approves offers, enforces disclosure/governance, investigates abuse.
4. NSE: regulated marketplace for listed securities; sets listing and ongoing disclosure requirements.
5. Insider trading: trading on material non-public information — prohibited, unfair advantage.
6. Market manipulation: artificially affecting price/volume — prohibited, undermines fair pricing.
7. Investor protection: disclosure rules, licensing, surveillance/enforcement, compensation funds.
8. Continuing disclosure: listed companies must promptly disclose material information.

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*End of study notes. This document is intended as original exam-preparation material and should be used alongside the current official KASNEB syllabus and examiner's reports for the paper.*